the NBBO will make available additional quotation information market participants can use to trade in a more informed and effective manner, which counterbalances this reduction in information.

The Commission believes that including only the best-priced odd-lot quote from each exchange, as one commenter suggested,[201] would not include sufficient information about better-priced odd-lot liquidity in core data. Because for many securities there are odd-lot quotes priced better than the NBBO at multiple price levels,[202] the Commission believes that including only the best-priced odd-lot quote from each exchange in core data would perpetuate some of the critical information asymmetries between SIP data and proprietary data and could impair the usability of core data for many market participants.

Furthermore, the Commission does not share the view of some commenters that its adoption of a modified definition of core data that incorporates odd-lots priced at or better than the NBBO is an alternative to redefining round lot sizes. Defining smaller-sized orders in higher-priced stocks as round lots, in addition to providing transparency into such quotations,

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201 See NYSE Letter II at 5.

202 In response to the comment suggesting only including the best-priced odd-lot quote from each exchange, staff supplemented the analysis above (see, e.g., Tables 1 and 2) that evaluated the volume of trades occurring in a quantity that would be defined as a round lot under the adopted definition, by also considering the volume of quotation data for the week of May 22–29, 2020, for stocks priced from $250.01 to $1000.00, which will have a round lot size of 40 shares pursuant to the modified definition of round lot that the Commission is adopting herein. Staff found that there is odd-lot interest priced better than the new round lot NBBO 28.49% of the time, and, in 48.49% of those cases, there are better priced odd-lots at multiple price levels, confirming the view that only including the best-priced odd-lot quote from each exchange would not include sufficient information about better-priced odd-lot liquidity in core data.

ensures that these smaller-sized orders can establish the NBBO, receive order protection, and invoke the applicability of several other rules under Regulation NMS.

The Commission does not agree that including quotation information about odd-lot orders priced at or better than the NBBO in core data, and enabling more investors to see and access this information, will undermine investor confidence in the markets resulting from potential confusion over protected versus unprotected quotes.[203] As is the case today, Rule 611 will not protect these odd-lot orders except to the extent that they are aggregated into round lots. Investors and other market participants who do not believe they need to consume information on odd-lots priced at or better than the NBBO may choose not to do so, and therefore the Commission does not believe the inclusion of this information in core data will confuse investors.[204] Moreover, odd-lots are subject to best execution requirements,[205] so investors have the assurance that their broker-dealers are required to seek the most favorable terms reasonably available under the circumstances for such orders despite the fact that the odd-lot quotes are not protected quotations pursuant to Rule 611.[206] Furthermore, the Commission does not believe adding odd-lot quotations priced at or better than the NBBO to core data would materially increase latency for core data. Market participants are not required to consume and process this additional odd-lot data, and could choose a consolidated market data product offered by a

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203 See TD Ameritrade Letter at 4–5.

204 See infra Section III.B.

205 See Order Execution Obligations, supra note 90, at 48305 ("The market maker still will have best execution obligations with respect to the remaining odd-lot portion of the customer limit order.").

206 See supra note 95 and accompanying text. See also supra Section I.E.

competing consolidator that does not contain such information, reducing concerns about the latency effects of additional odd-lot information on core data more broadly. In addition, the Commission believes that the decentralized consolidation model will result in lower latencies for the delivery of all consolidated market data.[207]

The Commission does not believe that including a subset of odd-lot quotes in core data is, as one commenter suggested, likely to "drag the processing time of SIP[s] and CC[s]."[208] The Commission believes that the most sophisticated, latency-sensitive market participants rely on proprietary market data feeds that include all odd-lots simultaneously with all other market data, which suggests that the inclusion of odd-lots, particularly the subset of odd-lots that will be included as part of core data, will not materially slow data dissemination. Therefore, the Commission does not believe it is necessary to consider new rulemaking that would "make odd-lots become true 'outliers'" and/or require the publication of "'delayed' odd-lot trades and quotations statistics."[209]

(c) OTC Equity, Corporate Bond, Index, and Other Information

In the Proposing Release, the Commission solicited comment regarding the exclusion of information related to OTC equities,[210] certain corporate bonds, and indices from the definition

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207 See supra note 199; infra Section III.B.5.

208 Data Boiler Letter I at 19.

209 Id.

210 "OTC Equity Security" is defined in FINRA Rule 6420(f) to mean "any equity security that is not an 'NMS stock' as that term is defined in Rule 600(b)(47) of SEC Regulation NMS; provided, however, that the term 'OTC Equity Security' shall not include any Restricted Equity Security." In its comment letter, FINRA notes that the Proposing Release refers to "OTCBB" data to describe the quotation and transaction data for OTC

of core data.[211] Commenters had mixed views about whether to include such information in the definition. One commenter favored the exclusion of this information on the grounds that core data should be kept "light,"[212] while others agreed with the Commission that this information does not relate to "NMS securities" and that it should not be included on that basis.[213] One of those commenters, however, suggested the Commission ensure the information remain available to retail investors.[214]

On the other hand, FINRA highlighted that excluding such data "would reduce investor access to [such data] and raise investor costs."[215] FINRA argued that because OTC equities may become listed and become NMS stocks and vice versa, providing that information in the same data feed "facilitates more orderly markets and transparency continuity in relation to transitioning issuers."[216] Excluding such data would also, FINRA argued, increase costs for both FINRA and market participants.[217]

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equities, which includes both transaction data from the FINRA OTC Reporting Facility ("ORF") and quotation data from the OTCBB. See FINRA Letter at 9.

211 Currently, Nasdaq UTP Plan Level 1 subscribers can obtain OTC equity quotation and transaction feeds for unlisted stocks. Similarly, the CTA Plan permits the dissemination of "concurrent use" data relating to NYSE-listed corporate bonds and indexes. See Proposing Release, 85 FR at 16736.

212 Data Boiler Letter I at 21.

213 See TD Ameritrade Letter at 4; MEMX Letter at 6.

214 See TD Ameritrade Letter at 4.

215 FINRA Letter at 9.

216 Id. at 11.

217 Id.

Given that OTC equities, corporate bonds, and indices are not NMS stocks,[218] the Commission is not revising the proposed definition of core data to include this information, even though this information is currently disseminated by the SIPs. Nothing in these amendments prohibits SROs from independently providing this kind of market data. As discussed below,[219] under the decentralized consolidation model, competing consolidators would be permitted to purchase data from the SROs and offer data products to subscribers that go beyond core data or consolidated market data.[220] Therefore, the exclusion of these types of data from the definitions of core data and consolidated market data does not preclude the provision of this data to market participants who wish to receive it.[221]

Additionally, as trades in OTC equities are reported to only one SRO (i.e., FINRA) while NMS stocks are traded on multiple SROs, there is less need to consolidate OTC data pursuant to

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218 See Proposing Release, 85 FR at 16736–37.

219 See infra Section III.B.

220 As discussed below, the fees for such additional data would be proposed and filed by an individual SRO pursuant to Section 19(b), 15 U.S.C. 78s(b), and Rule 19b-4, rather than by the effective national market system plan(s). See infra Section III.B.

221 In addition, one commenter suggested including exchange-traded product ("ETP") intraday indicative values ("IIVs") in core data and standardizing symbology across equity data feeds. See Angel Letter at 1, 11. The Commission is not including IIVs in core data because IIVs are not NMS stock quote or trade information and are therefore outside the scope of this proposal. In addition, the Commission did not require exchange-traded funds ("ETFs") to disseminate IIVs in adopting Investment Company Act Rule 6c-11. See Securities Act Release Nos. 33-10695; IC-33646 (Sept. 25, 2019), 84 FR 57162, 57179–80 (Oct. 24, 2019) (describing various shortcomings of IIV and stating that the Commission "do[es] not believe that IIV will provide a reliable metric for retail investors …"). The commenter also argued that the different suffixes for various securities—including preferred shares, rights, and warrants—cause "confusion for investors and increases the risk of costly trading mistakes." Id. at 11. This comment is unrelated to the dissemination of NMS stock quote or trade information and is therefore outside the scope of this proposal.

an effective national market system plan, which functions primarily to consolidate data across market centers. Furthermore, FINRA makes information on OTC trades widely available to market participants through its ORF.[222] In addition, FINRA's rules related to the reporting of OTC equity transaction data remain in effect, and any change to FINRA's rules would require Commission review.[223] Finally, pursuant to Exchange Act Sections 15A(b)(5), (b)(6), and (b)(9), FINRA could recoup the costs of providing OTC quotation and transaction data by charging fees that are fair, equitable, and do not impose an unnecessary burden on competition.[224] The Commission will monitor, during the transition period and thereafter,[225] the impact of these amendments on the provision of OTC quotation and transaction data, including its cost and availability, and consider whether additional steps are necessary or appropriate.

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222 See supra note 210. On September 24, 2020, FINRA filed a proposed rule change to eliminate its OTCBB. Historically, FINRA operated the OTCBB to provide an electronic quotation medium for OTC equity securities. However, FINRA represents that quoting on the OTCBB has declined and that the OTCBB does not currently display or widely disseminate quotation information on any OTC equity securities. FINRA represents that all quotation activity in OTC equity securities now occurs on member-operated interdealer quotation systems. As a result, in place of the OTCBB, FINRA is proposing to adopt enhanced requirements governing member interdealer quotation systems that provide real-time quotations in OTC equity securities. Among other things, the proposed rules would require such systems to maintain and enforce written policies and procedures relating to the collection and dissemination of quotation information in OTC equity securities on or through their systems. See Securities Exchange Act Release No. 99067 (Oct. 1, 2020), 85 FR 63314 (Oct. 7, 2020) (SR-FINRA-2020-031).

223 See FINRA Rule 6600.

224 15 U.S.C. 78*o*-3(b)(5), (b)(6), and (b)(9).

225 See infra Section III.H.

(d) Odd-lot Aggregation

The Commission proposed that the best bid and best offer, national best bid and national best offer, and depth of book data shall include odd-lots that when aggregated are equal to or greater than a round lot, and that such aggregation shall occur across multiple prices and shall be disseminated at the least aggressive price of all such aggregated odd-lots.[226] Several commenters supported odd-lot aggregation across multiple price levels for purposes of determining these elements of core data.[227] One commenter argued that this method would "provide market participants with a reasonably complete view of the best bids and offers for each security."[228] Another commenter stated that "a common odd-lot aggregation logic should be employed by all exchanges for the purpose of displaying meaningful size."[229] However, a different commenter recommended that odd-lot quotes not be aggregated across multiple price levels because it "would cause unnecessary confusion."[230]

The Commission is adopting the definition of core data with odd-lot aggregation across multiple price levels and specifying that such aggregation is for each market.[231] Specifically, the

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226 For example, if Market A had 25 shares offered at $1.98, 25 shares offered at $1.99, and 50 shares offered at $2.00, the round lot offer would be displayed as 100 shares offered at $2.00. As discussed below, the Commission proposed a single-price odd-lot aggregation methodology for purposes of protected quotations. See infra Section II.E.1.

227 See Fidelity Letter at 4; IEX Letter at 4.

228 IEX Letter at 4–5.

229 TD Ameritrade Letter at 2. See also IEX Letter at 5 ("[I]t is important that this method be specified in SEC rules so as to ensure a common understanding of the NBBO by all market participants.").

230 Data Boiler Letter I at 24.

231 The Commission is specifying that the definition of core data does not require cross-market odd-lot aggregation.

best bid and best offer, national best bid and national best offer, and depth of book data shall include odd-lots that when aggregated are equal to or greater than a round lot, and such aggregation shall occur across multiple prices and shall be disseminated at the least aggressive price of all such aggregated odd-lots.[232] The Commission does not believe that this would cause unnecessary confusion[233] because many exchanges currently aggregate odd-lot prices in this manner. Setting forth this cross-price aggregation methodology in Commission rules will promote consistency in the calculation and display of core data. Additionally, this method of odd-lot aggregation will enable market participants to obtain a more reasonably complete view of the best bids and best offers of each security than they would if odd-lots were not aggregated or aggregated at only a single price level because the aggregation methodology the Commission is adopting captures liquidity dispersed across multiple prices. Furthermore, this odd-lot aggregation methodology would benefit market participants by promoting tighter spreads in all stocks, especially high priced ones.[234]

(e) Quotation Sizes and SRO Attribution in Core Data

Currently, the size of the NBBO is represented in core data in terms of the number of round lots. For example, if a 200 share bid at $25.00 establishes the national best bid, the SIP feed shows "2" at $25.00.

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232 As explained below, the Commission is also extending the multiple-price odd-lot aggregation methodology to protected quotations. See infra Section II.E.

233 See Data Boiler Letter I at 24.

234 See infra Section II.E.2(b).

One commenter, believing that this practice might be confusing given the new round lot sizes, particularly to retail investors, recommended requiring size to be represented in actual shares rather than round lots.[235]

The Commission agrees that continuing the current size representation convention—i.e., the number of round lots—could be confusing. Accordingly, the Commission is modifying the proposed definition of core data to require quotation sizes for core data elements—including the NBBO, each SRO's best and protected quotes, depth of book data, and auction information—to be disseminated in share sizes, rounded down to the nearest round lot multiple. For example, a 275 share buy order at $25.00 for a stock with a 100 share round lot would be disseminated as "200."[236]

The Commission is also modifying the proposed definition of core data to specify that core data elements—specifically, the best bid and best offer, NBBO, protected bid and protected offer, transaction reports, last sale data, odd-lot information, depth of book data, and auction information—to the extent that they are disseminated in a consolidated market data product, must be attributed to the national securities exchange or national securities association that is the

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235 See CBOE Letter at 13–14. For example, an investor would have to know that, for a $300 stock, "2" means 80 shares pursuant to the adopted round lot sizes.

236 The Commission has considered whether the entire size should be displayed including any odd-lot portion rather than rounding down to the nearest round lot multiple. The purpose of rounding down to the nearest round lot multiple is to ensure that the enumerated elements of core data reflect orders of meaningful size. Specifically with respect to the NBBO, rounding down also helps to ensure that the protected portion of the order is clearly represented, which addresses concerns about impacts on investor confidence and confusion that could result from showing unprotected size at the NBBO. In addition, as discussed above, odd-lots priced at or better than the NBBO, including the odd-lot portion of a mixed lot order at the NBBO, will be included in core data.

source of each such element.[237] The Commission believes that SRO attribution is critical to the utility of these core data elements so that market participants know where to access a displayed quotation.[238] This requirement is consistent with the inclusion of exchange information in current SIP data.[239]

D. Definition of "Round Lot" under Rule 600(b)(82)

1. Proposal

To better ensure the display and accessibility of significant liquidity for higher-priced stocks, the Commission proposed a definition of round lot that would assign different round lot sizes to individual NMS stocks depending upon their stock price. Specifically, the Commission proposed to define round lot as: (1) for any NMS stock for which the prior calendar month's average closing price on the primary listing exchange was $50.00 or less per share, an order for the purchase or sale of an NMS stock of 100 shares; (2) for any NMS stock for which the prior calendar month's average closing price on the primary listing exchange was $50.01 to $100.00 per share, an order for the purchase or sale of an NMS stock of 20 shares; (3) for any NMS stock for which the prior calendar month's average closing price on the primary listing exchange was $100.01 to $500.00 per share, an order for the purchase or sale of an NMS stock of 10 shares; (4) for any NMS stock for which the prior calendar month's average closing price on the primary listing exchange was $500.01 to $1,000.00 per share, an order for the purchase or sale of an NMS stock of 2 shares; and (5) for any NMS stock for which the prior calendar month's average

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237 See infra Section VIII.

238 See also Section II.F.2(b).

239 See supra note 17 and accompanying text (stating that core data currently includes the price, size, and exchange of the last sale; each exchange's current highest bid and lowest offer, and the shares available at those prices; and the NBBO).